

upcoming fiscal, the government is expected to issue approximately \$150 billion of government bonds, with FPIs expected to pick up bonds worth \$25 billion, accounting for more than 15 per cent of the total issuance,” says Parul Mittal Sinha, Head of Financial Markets for India and Co-head of Macro Trading for Asean and South Asia at Standard Chartered Bank. “From a one-year standpoint, this could potentially have a substantial impact.” But, she cautions that from a longer-term perspective, a holding of less than 5

accessible route (FAR) created by the Reserve Bank of India, non-residents were allowed to invest in government bonds without any restrictions from April 2020. The Government of India issues approximately \$200 billion worth of government bonds annually. “Of this, almost 75 per cent falls under the FAR category. The 40-, 50- and 3-year bonds do not fall within the FAR classification, while the remainder does. The FAR securities are increasing sharply in number and quantum each year,” explains Sinha.

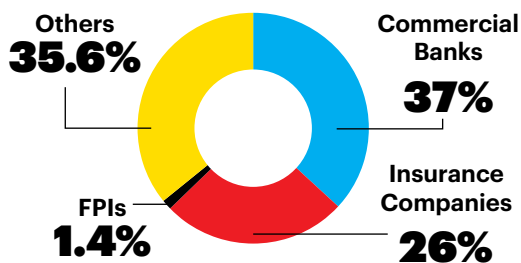
Further, the inclusion, being

other EM currencies. The rupee has remained stable, and bond market volatility has been minimal. Year-to-date, the rupee has depreciated by less than 1 per cent against the dollar,” emphasises Sinha.

That apart, foreign investors are expected to keep a watchful eye on the macroeconomic fundamentals of the country, as the government securities market is closely linked to macroeconomic indicators such as inflation and fiscal deficit. “While some key parameters such as fiscal deficit to GDP, government debt to

A SMALL BEGINNING

- ▶ Commercial banks are the single largest holders of government bonds
- ▶ Holdings by FPIs are expected to increase to 4 per cent by FY25 after the recent move



DATA FOR FY23; SOURCE: MARKETS

ADVANTAGE INDIA

- 1 The inclusion is expected to increase foreign participation in India's bond market
- 2 Additional inflows of \$25-30 billion are expected to strengthen the rupee's value against the dollar, and add to forex reserves
- 3 It will also soften the G-sec yields; the cost of raising resources for the government is also expected to come down
- 4 The move will also free up capital for banks and insurance companies, and boost the corporate bond market

per cent will not be as material.

Further, the expected inflow of \$25-30 billion will not be limited to passive funds tracking the index. “There will also be an inflow of active investments, which, based on experiences of other emerging market countries, could range from \$5-10 billion. But this money could be more volatile in nature, and be dependent on short-term expectations of market movements,” Sinha adds.

The idea—to push for the inclusion of Indian rupee bonds into global indices, which is indeed a bold one—was initiated by the government three years ago. Under the fully

hailed as a positive for the rupee in terms of initial flows, also has the flip side of high volatility in capital flows, and the consequent impact on the rupee's value against the US dollar.

Today, the yields on Indian bonds are better than EM bonds. For instance, the weighted average nominal yield for the JPMorgan GBI-EM index is close to 6.25 per cent, while the yield for IGBs is around 7.25 per cent. With India offering a significant advantage, market watchers believe investors may be overweight on India. “There will be a fair amount of investor interest because India's currency has outperformed

GDP, and current account deficit as a percentage of GDP will be monitored, nothing is looking alarming at the moment,” says Dhawal Dalal, CIO for Fixed Income at Edelweiss Asset Management.

But India's fiscal management track record leaves much to be desired. Since the global financial crisis of 2008, the country's fiscal deficit has consistently been over 3 per cent. The stimulus introduced during the Covid-19 period had partly impacted India's fiscal consolidation journey, resulting in a higher deficit. But post Covid-19, the government has set a glide path towards a fiscal deficit